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RE: Uses, Opportunities, and Risks of Artificial Intelligence in the Financial Services Sector
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Re: Uses, Opportunities, and Risks of Artificial Intelligence in the Financial Services Sector

The American Council of Life Insurers (ACLI) appreciates the opportunity to provide feedback in response to the Treasury's June 6th posting of a "Request for Information on Uses, Opportunities, and Risks of Artificial Intelligence in the Financial Services Sector" (RFI) to the Federal Register.

ACLI advocates on behalf of 275 member companies dedicated to providing products and services that promote consumers' financial and retirement security. Financial security is our core business, and retirement security for all Americans is a critical mission. We protect 90 million American families with financial products that reduce risk and increase financial security, including life insurance, annuities, retirement plans, long-term care insurance, disability income insurance, reinsurance, and other supplemental benefits such as dental and vision.

Our country's life insurance companies have long been committed to providing access to financial security for all Americans, regardless of where or how they work, their life stage, or the economic status of their household. Life insurance products play a significant role in financial empowerment due to their transformative ability to provide financial security and build intergenerational wealth.

The life insurance industry is well regulated by the insurance commissioners in each state, and this extends to the use of technology. The National Association of Insurance Commissioners (NAIC) recently developed a *Model Bulletin on the Use of Artificial Intelligence Systems by Insurers* (NAIC AI Model Bulletin). Critically, the NAIC AI Model Bulletin enumerates how existing state laws to protect consumers of insurance products, including the *Unfair Trade Practices Model Act* (NAIC

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The American Council of Life Insurers is the leading trade association driving public policy and advocacy on behalf of the life insurance industry. 90 million American families rely on the life insurance industry for financial protection and retirement security. ACLI's member companies are dedicated to protecting consumers' financial wellbeing through life insurance, annuities, retirement plans, long-term care insurance, disability income insurance, reinsurance, and dental, vision and other supplemental benefits. ACLI's 275 member companies represent 93 percent of industry assets in the United States.

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Model #880) and *Unfair Claims Settlement Practices Model Act* (NAIC Model #900), apply to the insurer uses of advanced technologies such as AI. The NAIC AI Model Bulletin has been adopted by 13 states this year, and we support broader adoption to ensure consistent requirements for insurers nationwide.

America's life insurance industry is taking action to increase the economic opportunities of financially underserved communities across the country. The adoption of emerging technologies such as AI enables life insurers to fulfill our core mission to enhance financial security. The following responses discuss these applications further.

Question 1: Is the definition of AI used in this RFI appropriate for financial institutions? Should the definition be broader or narrower, given the uses of AI by financial institutions in different contexts? To the extent possible, please provide specific suggestions on the definitions of AI used in this RFI.

- The NAIC has developed its definition of AI, and the insurance industry has responded with information in accordance with that definition. Any definition developed by Treasury should align with, or at a minimum not conflict with, definitions of AI in existing regulatory frameworks for financial institutions.
- The Treasury definition of AI should reflect the following:
 - Definitions should be tailored to the different types of AI and the use cases and risks they pose. The definition used in this RFI is similar to an outdated definition put forth by the Organization for Economic Coordination and Development (OECD), which could be narrowed for specific use cases (e.g., tiering of risks under the EU framework).
 - There are also distinctions between generative AI used to make decisions, without ultimately including human input or intervention, and AI used with human decision-making being absolute or the usage being solely for internal efficiencies and therefore not impactful for customers.
 - AI covers a broad range of predictive modeling techniques that would otherwise not be considered Artificial Intelligence. A refinement to the definition that classifies AI as machine learning systems that utilize artificial neural networks to make predictions may be more appropriate.
 - The definition of AI should exclude simpler computation tasks that companies have been using for a long time.

Question 2: What types of AI models and tools are financial institutions using? To what extent and how do financial institutions expect to use AI in the provision of products and services, risk management, capital markets, internal operations, customer services, regulatory compliance, and marketing?

- According to a recent survey from the NAIC, life insurance companies that currently implement AI/machine learning (ML) use it primarily for their Pricing, Marketing, Risk Management, and Underwriting functions.
- Other, less common applications include Enhancing Agent Productivity, Agent Recruitment, Market Segmentation, Mortality & Lapse Assumptions, Fraud Detection, Compliance, Human Resources, Form Optical Character Recognition, Call Centers, Enterprise Risk Management (ERM) Stress Calibration, Disability Product Outcomes, Enterprise Compliance, Application Processing, Applicant Non-Disclosure, Quality Assurance, Claims Approval/Processing, Customer Service, Chatbots & Large Language Model (LLM)

Assistants, Cybersecurity, and Internal Knowledge Platforms (in this context with the use of code-assist tools).

- State insurance regulators, under their existing regulatory authority, review models and algorithms in market conduct examinations to ensure compliance with the Unfair Claims Settlement Practices Act, the Unfair Trade Practices Act, and various state-specific laws regarding underwriting. Confidential, non-public sharing of this information with regulators helps ensure compliance with these regulations.

Question 3: To what extent does the type of AI, the development of AI, or AI applied use cases differ within a financial institution? Please describe the various types of AI and their applied use cases within a financial institution.

Are there additional use cases for which financial institutions are applying AI or for which financial institutions are exploring the use of AI? Are there any related reputation risk concerns about using AI? If so, please provide specific examples.

- Use cases differ within an insurance company in accordance with the various business operations within the insurer and in compliance with particular state laws and regulations. In all instances, the usage is intended for financial soundness and profitable growth across demographics. Insurers continue to explore additional uses beyond the limited applications of today. As those new use cases arise, insurers continue their transparency with regulators in rate filings considering the confidentiality provisions and are otherwise subject to the aforementioned state laws and regulations.
- Our response to Question 2 describes many of the current applications of insurers' use of AI. We anticipate most insurers who are currently not using AI would do so for such applications.

Question 4: Are there challenges or barriers to access for small financial institutions seeking to use AI? If so, why are these barriers present? Do these barriers introduce risks for small financial institutions? If so, how do financial institutions expect to mitigate those risks?

- One of the main barriers for smaller insurers is access and application of the most up-to-date computing technology compared to larger entities. More specifically, smaller companies may also find it more resource constraining with less flexibility to work with third-party vendors to develop and maintain AI systems.

Question 5: What are the actual and expected benefits from the use of AI to any of the following stakeholders: financial institutions, financial regulators, consumers, researchers, advocacy groups, or others? Please describe specific benefits with supporting data and examples. How has the use of AI provided specific benefits to low-to-moderate income consumers and/or underserved individuals and communities (e.g., communities of color, women, rural, tribal, or disadvantaged communities)?

How has AI been used in financial services to improve fair lending and consumer protection, including substantiating information? To what extent does AI improve the ability of financial institutions to comply with fair lending or other consumer protection laws and regulations? Please be as specific as possible, including details about cost savings, increased customer reach, expanded access to financial services, time horizon of savings, or other benefits after deploying AI.

- In addition to improved efficiency in processing times for underwriting decisions, it improves risk assessment and fraud detection accuracy.

- The use of technology also improves insurers' ability to reach underserved communities through improved targeting and outreach.
- Ultimately, the goal of our member financial institutions is to provide as many customers as possible with life insurance products including, but not limited to, life insurance, annuities, disability income, and long-term care. AI and related technologies help make this goal more attainable.
- Data used by insurers in emerging technologies like AI is subject to strict and comprehensive unfair trade practices laws, actuarial standards, and privacy and security laws at both the state and federal level. The existing regulatory framework allows companies to leverage innovative technology that benefits both consumers and the industry. This balanced regulatory approach lets life insurers keep offering consumers the products they want and need, while also allowing innovations that help make insurance coverage available to more consumers.

Question 6: To what extent are the AI models and tools used by financial institutions developed in-house, by third-parties, or based on open-source code? What are the benefits and risks of using AI models and tools developed in-house, by third-parties, or based on open-source code?

To what extent are a particular financial institution's AI models and tools connected to other financial institutions' models and tools? What are the benefits and risks to financial institutions and consumers when the AI models and tools are interconnected among financial institutions?

- Insurers utilize the development tools that make sense depending on the use case: in-house, third-party, or open-source code based. While most traditional predictive modeling techniques are developed in-house and trained using proprietary data, emerging AI approaches are costly and require significantly larger data sets to be effective. As such, many financial institutions leverage and augment AI models produced by large technology firms.
- For in-house models, improved oversight and governance may result from the increased transparency into the models and data they use and produce, in alignment with the company's risk management framework.
- Many vendors are actively developing functionality using AI that insurers utilize, which can provide easier user adoption with familiar tools. Many institutions are actively looking into open-source models with generative AI (GenAI) as well as some of the text and image models. While these models are not often used directly, they may be used as a foundation to build models on top of them. Additionally, vendors rely on either other vendor models to create their own solution or they can also utilize open-source models as well. Often a model might be partly a vendor product or open-source solution that has been modified to be more effective at solving the business use case. Not relying on a single vendor for solutions allows for limiting risk, ensuring that there are options for organizations to utilize and not just a few vendors or open-source solutions available. A potential risk for open-source models is the lack of an established vendor certifying functionality and summarizing new version releases.

Question 7: How do financial institutions expect to apply risk management or other frameworks and guidance to the use of AI, and in particular, emerging AI technologies? Please describe the governance structure and risk management frameworks financial institutions expect to apply in connection with the development and deployment of AI. Please provide examples of policies and/or practices, to the extent applicable.

What types of testing methods are financial institutions utilizing in connection with the development and deployment of AI models and tools? Please describe the testing purpose and the specific testing methods utilized, to the extent applicable.

To what extent are financial institutions evaluating and addressing potential gaps in human capital to ensure that staff can effectively manage the development and validation practices of AI models and tools?

What challenges exist for addressing risks related to AI explainability? What methodologies are being deployed to enhance explainability and protect against potential bias risk?

- Many insurers look at best practices across sectors in the development of their risk management frameworks. Due to the complexity of insurers, they have robust risk management frameworks in place that can assist in addressing risks associated with technology. Current risk frameworks should apply to AI just like any other application. Governance and accountability frameworks evolve to address responsible AI considerations and are applied to internally and externally sourced AI solutions. Use of AI should involve human engagement throughout the lifecycle, as appropriate.
- In some instances, there is regulatory guidance on risk management systems and governance of AI. For example, the NAIC AI Model Bulletin reiterates decisions or actions impacting consumers that are made or supported by AI systems must comply with all applicable insurance laws and regulations including those that address unfair trade practices and unfair discrimination. The NAIC AI Model Bulletin sets forth jurisdiction's expectations as to how insurers will govern the development and acquisition and use of AI technologies. The NAIC AI Model Bulletin describes the type of information and documentation that state insurance regulators may request during an investigation or examination of the entity. Other states may provide additional guidance and requirements related to the use of AI.
- As for explainability, it is understood that the phrase is important for state regulators, and entities should be able explain usage and tools easily. However, for the consuming public for insurance, there are already laws and regulations regarding notices and disclosures that are sufficient and followed.
- Approach to risk management relative to AI is consistent with enterprise approaches financial institutions are taking to risk management; any regulatory requirements should allow institutions to utilize their existing frameworks to adapt to use of AI commensurate with the risks.
 - For third party risk management, companies may utilize best practices that include risk assessment, pre and post contract due diligence, contractual safeguards, and ongoing monitoring.
 - AI could be a benefit in risk management in addressing illicit finance risk; it can be useful for identifying suspicious activities through monitoring and analyzing huge volumes of data in real time, and identifying patterns that need review.

Question 8: What types of input data are financial institutions using for development of AI models and tools, particularly models and tools relying on emerging AI technologies? Please describe the data governance structure financial institutions expect to apply in confirming the quality and integrity of data. Are financial institutions using "non-traditional" forms of data? If so, what forms of "non-traditional" data are being used? Are financial institutions using alternative forms of data? If so, what forms of alternative data are being used?

- As data scientists look at a potential business use case, they identify what data is available and best to employ. For life insurers, traditional data is the most prevalent input for pricing and underwriting. As more data becomes available, life insurers can refine their models reflecting more accurate data for improved risk assessment.

- Insurers rely upon data provided directly from their clients, data that clients have given the insurer permission to access (e.g., medical history data), and data that is publicly available or available for purchase from data vendors. Insurers are responsible for complying with all applicable policies, laws and regulations to insure data protection and appropriate use.
- To the extent that unstructured data is being used, it should have similar governance expectations; review by data owners of unstructured data is still required to ensure the quality of that content meets the thresholds for model performance.

Question 9: How are financial institutions evaluating and addressing any increase in risks and harms to impacted entities in using emerging AI technologies? What are the specific risks to consumers and other stakeholder groups, including low- to moderate-income consumers and/or underserved individuals and communities (e.g., communities of color, women, rural, tribal, or disadvantaged communities)? How are financial institutions protecting against issues such as dark patterns – user interface designs that can potentially manipulate impacted entities in decision-making – and predatory targeting emerging in the design of AI? Please describe specific risks and provide examples with supporting data.

- Layered governance techniques are applied to AI solutions to ensure financial institutions continue to protect consumers and other stakeholder groups from increases in risks and harms.
- The use of emerging AI technologies enables insurers to increase access to financial products to underserved communities. Existing risk management frameworks help mitigate additional risks associated with such technologies.

Question 11: How are financial institutions addressing any increase in data privacy risk related to the use of AI models, particularly emerging AI technologies? Please provide examples of how financial institutions have assessed data privacy risk in their use of AI.

In what ways could existing data privacy protections (such as those in the Gramm-Leach-Bliley Act (Pub. L. No. 106-102)) be strengthened for impacted entities, given the rapid development of emerging AI technologies, and what examples can you provide of the impact of AI usage on data privacy protections?

How have technology companies or third-party providers of AI assessed the categories of data used in AI models and tools within the context of data privacy protections?

- The life insurance industry is subject to robust insurance privacy and data security laws that apply to new technology (including AI). These laws require insurers to impose robust privacy/data security requirements on third-party vendors, including those whose AI tools we might utilize.
- Data privacy risk can be addressed by having a holistic view of the risks involved in utilizing AI, both to that of the client and internal company business systems. Additionally, different levels of risk are associated with its usage whether related to business operations or not. For example, a lower risk seems to exist where AI is utilized in the background in supporting business processes that are ultimately reviewed by a person for any errors or omissions. Higher risks exist where there is no human component in the AI utilization process.
- There are many possible ways to address privacy concerns, including:
 - Updating vendor onboarding and ongoing monitoring questions to specifically address AI risk;
 - Updating contract review process and procedures;

- o Internal review and approval process for AI use cases as they move from testing to production, including ongoing and periodic review once they are launched in production;
- o AI risk is assessed, monitored, and sufficiently escalated at the right level within the organization; and
- o Dedicated staff across all cross functional departments that have AI as part of their core job functions and responsibilities.

Question 12: How are financial institutions, technology companies, or third-party service providers addressing and mitigating potential fraud risks caused by AI technologies? What challenges do organizations face in countering these fraud risks? Given AI's ability to mimic biometrics (such as a photos/video of a customer or the customer's voice) what methods do financial institutions plan to use to protect against this type of fraud (e.g., multifactor authentication)?

- A layered Defense in Depth framework enables multiple technologies and procedures to work across a wide range of services and capabilities to deliver a comprehensive set of solutions designed to mitigate the risk of fraud or cybersecurity incidents. This includes electronic signatures, certificate management, encryption at rest, in motion or in some cases while processing, as well as advanced liveness testing and modern authentication mechanisms like hardware tokens and biometrics pattern recognition to enable suspicious activity detection and alerting.

Question 14: As states adopt the NAIC's Model Bulletin on the Use of Artificial Intelligence Systems by Insurers and other states develop their own regulations or guidance, what changes have insurers implemented and what changes might they implement to comply or be consistent with these laws and regulatory guidance?

How do insurers using AI make certain that their underwriting, rating, and pricing practices and outcomes are consistent with applicable laws addressing unfair discrimination?

How are insurers currently covering AI-related risks in existing policies? Are the coverage, rates, or availability of insurance for financial institutions changing due to AI risks? Are insurers including exclusions for AI-related risks or adjusting policy wording for AI risks?

- The NAIC AI Model Bulletin clarifies applicability of existing state laws that define and address unfair discrimination in the use of AI. Underwriting and rating laws have not changed due to the adoption of the NAIC AI Model Bulletin, and insurers continue to comply with laws regarding the prohibition of the use of protected classes in rating and underwriting along with the required transparency in filings and market conduct oversight.
- Industry's current required privacy programs focus on data inputs and outputs and permissions for those uses. Privacy requirements like transparency and consumer choice are relevant in AI policy discussions and form some of the strongest controls on AI use. For example, the Gramm-Leach-Bliley Act requires financial institutions to provide notice and opt-out rights before sending nonpublic personal information to non-affiliated third parties for their own use which would prohibit the industry from allowing an AI provider to use company data to train AI products in a way that would expose the data to others.

Question 15: To the extent financial institutions are relying on third-parties to develop, deploy, or test the use of AI, and in particular, emerging AI technologies, how do financial institutions expect to manage third-party risks? How are financial institutions applying third-party risk management frameworks to the use of AI?

What challenges exist to mitigating third-party risks related to AI, and in particular, emerging AI technologies, for financial institutions? How have these challenges varied or affected the use of AI across financial institutions of various sizes and complexity?

- While life insurers are likely investing in some technology development of varying degrees internally, they are also using third party tools in a meaningful way, leveraging the advancements that companies that are experts in such technology can provide. Benefits are that third parties are focused on continuous enhancement of the technologies that are their business, and opportunity for faster innovation. There are risks that can be mitigated with diligent third-party risk management and transparency. Such risk management may include maturing of the existing process, engaging key stakeholders, triggers in risk assessment framework for additional due diligence, and updating contract provisions as appropriate.

Question 16: What specific concerns over data confidentiality does the use of third-party AI providers create? What additional enhancements to existing processes do financial institutions expect to make in conducting due diligence prior to using a third-party provider of AI technologies?

What additional enhancements to existing processes do financial institutions expect to make in monitoring an ongoing third-party relationship, given the advances in AI technologies? How do financial institutions manage supply chain risks related to AI?

- Some effective strategies for managing supply chain risk from third parties related to AI include:
 - AI Governance - Establishing robust AI governance to oversee AI implementation. This involves defining policies, roles, and responsibilities, ensuring ethical use, and monitoring compliance;
 - Strengthen Cybersecurity - Protecting against cyber threats by implementing strong security measures. Regularly assessing vulnerabilities, securing data, and monitoring AI systems for potential breaches;
 - Data Literacy - Developing data, cybersecurity, and privacy literacy among supply chain teams. Educating employees and third-party partners about AI, data handling, and privacy to enhance their understanding and decision-making;
 - Risk Identification - Identifying regulatory, reputational, competency, and technology risks associated with AI via the implementation of proactive risk mitigation strategies; and
 - Data confidentiality - Address concerns when using third-party AI solutions with data encryption, access controls, data minimization, data anonymization, data tagging, auditing, and monitoring, employee training, and contractual safeguards.

Question 17: How are financial institutions applying operational risk management frameworks to the use of AI? What, if any, emerging risks have not been addressed in financial institutions' existing operational risk management frameworks?

How are financial institutions ensuring their operations are resilient to disruptions in the integrity, availability, and use of AI? Are financial institutions using AI to preserve continuity of other core functions? If so, please provide examples.

- The main new risks with GenAI are the intellectual property (IP) risks, the approval of contract risk acceptances, as well as how to manage foundational models that are used in multiple areas of a company.
- Here are some strategies for applying an operational risk management framework to AI:

- Data Risks - AI systems rely on data vulnerable to tampering, breaches, bias, or cyberattacks. Protect data integrity, security, and availability throughout the AI lifecycle;
- Model Risks - Assess algorithmic choices, training methodologies, and model selection. Rigorous testing and validation are essential to minimize risks;
- Operational Risks - Consider challenges related to system deployment, infrastructure, and scalability. Implement robust monitoring and maintenance practices;
- Ethical and Legal Risks - Address ethical concerns (e.g., bias, fairness) and legal compliance. Ensure AI systems respect human rights and privacy; and
- Commonly used AI risk management frameworks include the NIST AI Risk Management Framework, the EU AI ACT, and ISO/IEC standards. These frameworks guide organizations in deploying and maintaining AI systems safely and ethically.
- Financial institutions protect themselves from disruptions of AI solutions with resilience planning, continuous monitoring, incident response planning, and redundant capability development. When utilizing third-party AI solutions, robust vendor risk management, contractual safeguards, and exit strategies such as internal capability development are applied.

Question 18: What actions are necessary to promote responsible innovation and competition with respect to the use of AI in financial services? What actions do you recommend Treasury take, and what actions do you recommend others take? What, if any, further actions are needed to protect impacted entities, including consumers, from potential risks and harms?

Please provide specific feedback on legislative, regulatory, or supervisory enhancements related to the use of AI that would promote a financial system that delivers inclusive and equitable access to financial services that meet the needs of consumers and businesses, while maintaining stability and integrity, protecting critical financial sector infrastructure, and combating illicit finance and national security threats. What enhancements, if any, do you recommend be made to existing governance structures, oversight requirements, or risk management practices as they relate to the use of AI, and in particular, emerging AI technologies?

- It is critical to consider AI in the context of its use within the specific financial services application. Insurance companies and the technologies they deploy follow sound state insurance regulations that promote innovation and competition while protecting policyholders. As previously stated, state insurance regulation is governed by NAIC Model #880 and NAIC Model #900, with greater clarification of how these laws apply to technologies like AI through the NAIC AI Model Bulletin. Insurers are using existing guidance and best practices to incorporate governance around AI in their existing risk management frameworks.
- A broad-brush regulation is not appropriate as it would stifle AI innovation. This is particularly true for insurers who are heavily regulated under existing state insurance laws per the enablement of McCarran-Ferguson. The ideal solution is to allow for industry-by-industry innovation in accordance with the industry's specific laws and regulations.

Question 19: To what extent do differences in jurisdictional approaches inside and outside the United States pose concerns for the management of AI-related risks on an enterprise-wide basis? To what extent do such differences have an impact on the development of products, competition, or other commercial matters? To what extent do such differences have an impact on consumer protection or availability of services?

- Through the NAIC, states periodically adopt uniform laws that provide protections for both solvency and market conduct and in particular the unfair discrimination and unfairly discriminatory rates standards. But differences between the states have also enabled the states to empower innovation and “laboratories” for greater efficiencies.
- Differences in jurisdictional approaches to AI governance inside and outside the United States pose major concerns and challenges for multi-national companies who are attempting to manage AI across their entire enterprise. Lack of harmonization means companies have to tailor their AI governance practices, product development, third-party due diligence, and risk management separately for each jurisdiction they operate in. The divergent approaches can also lead to dramatically different levels of consumer protection and access to AI-powered services from one jurisdiction to the next. Citizens in regions with more permissive regulations may gain access to more innovative AI services sooner, while those in regions with stricter rules may face more limited availability in an effort to comply with guardrails.